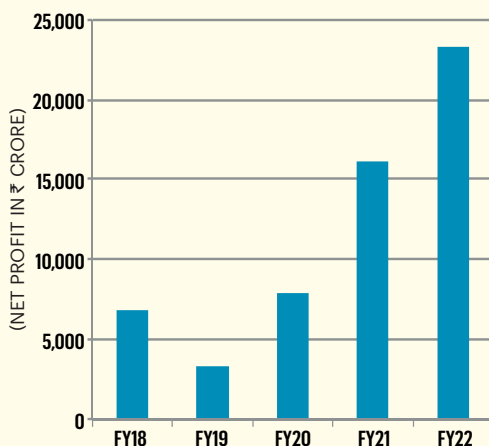


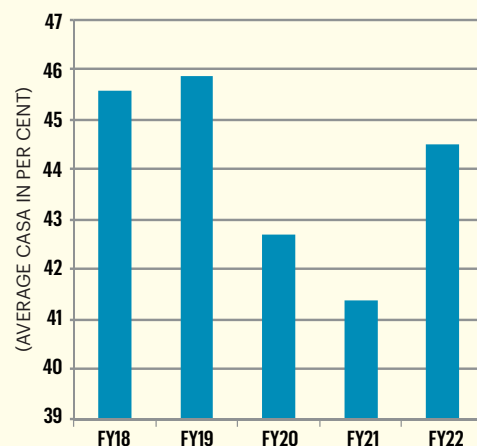
BAKHSHI'S STRATEGY

A look at the key drivers of the ICICI Bank honcho's game plan

1. Growing core operating profit



2. Building higher share of low-cost deposits



CASA IS SHARE OF CURRENT AND SAVINGS ACCOUNTS IN TOTAL DEPOSITS **SOURCE** ANNUAL REPORTS

64 |

technology, people, distribution, and building our brand,” Bakhshi, 63, had said at a recent investor conference. In the past four years, ICICI Bank—under Bakhshi—has revamped its HR policies, teams, and work culture along the lines of ‘One Bank, One Team.’ This translates into ‘One ROE’ for the shareholders as well as investors. Its ROE or return on equity has jumped from single digits—when Bakhshi joined—to 16.6 per cent now. The stock has seen its price multiply 2.6 times in the same period.

Since Bakhshi walked into the corner office, the bank's net profit has gone up by more than seven times, while the share of safe and secure retail assets has moved from 45.5 per cent to 52.9 per cent. And its net non-performing assets (NPA) have declined from 4.8 per cent to less than 1 per cent. The bank has built a strong balance sheet in terms of provisioning ratio and capital adequacy in this period. It has also been able to hold on to its share of low-cost current account and savings account deposits that are at 44.5 per cent now after slipping marginally since Bakhshi took over.

Technology, certainly, is a key

focus area. ICICI Bank's spends on tech have surged from 5.6 per cent of its operating expenses three years ago to 9.1 per cent in H1FY23. “The bank is the front runner in tech adaptation, while its peers are playing catch-up,” says Manu Rishi Gupta, Founder & CEO of MRG Capital, a portfolio management firm. But how is ICICI Bank harnessing tech to grow its businesses?

The Digital Engine

A good example is the bank's MSME business. ICICI Bank is expanding its SME and business banking operations, which make up 4.4 per cent and 6.7 per cent of its loan book, respectively, as of September 2022, via its business banking mobile app InstaBIZ. Launched in 2016 as iBizz, the app provides solutions for the self-employed, SMEs and the merchant ecosystem. It also provides secured working capital, overdraft on bank fixed deposits, etc. The bank has revamped the InstaBIZ app over the years, and its investment is paying rich dividends—the app saw 195,000 registrations from non-ICICI Bank account holders by September 30, 2022. In fact, ICICI

Bank has won the Best Bank in Innovation award from the jury for the InstaBIZ initiative, which has over 1.3 million active users.

ICICI Bank's retail banking vertical is also firing on all cylinders, powered by tech. Its mortgage lending business accounts for 63 per cent of its retail loans, with the total book being ₹3.18 lakh crore. In November 2022, the bank completely digitised the mortgage lending process. ‘iLens’, its state-of-the-art platform, enables seamless on-boarding of customers with minimum data punching, digital credit assessment by tapping into various data sources through API integrations, and video KYC for verification. In addition, it includes a built-in customer interface that allows borrowers to track the status of their loan applications in real time, as well as digitally complete additional paperwork and fee payments. What's more, even those who have never had an account with ICICI Bank can make use of iLens.

ICICI Bank says iLens will soon be used for auto and personal loans. Incidentally, auto loans, with a book of around ₹72,618 crore, make up 14.3 per cent of the retail